Research note: how a personal loan is approved in an Indian bank

Scope. One product: an unsecured personal loan for a salaried applicant at an Indian bank. This is desk research from regulator and lender publications (accessed 28 Oct 2026), not internal bank procedure documents. Turnaround figures come from lender and comparison-site pages and are estimates.

1. The process, stage by stage

#	Stage	Who	What is checked	Typical documents
1	Application	Applicant, branch or app, sometimes a sales agent	Eligibility, consent, loan amount and tenure	Application form, PAN
2	KYC	Operations or KYC officer	Identity and address, officially valid documents	PAN, Aadhaar or other identity and address proof, photo [6][7]
3	Income verification	Credit analyst	Salary slips against bank credits, employer and tenure	Last 3 months of salary slips; 3 to 6 months of bank statements showing salary credits; Form 16 [6][7]
4	Credit bureau check	Credit analyst (system pull)	Score, late payments, enquiries, existing loans	Bureau report; scores run 300 to 900 and 750+ is generally good [10][13]
5	Affordability	Credit analyst	FOIR = monthly obligations / monthly income	Existing EMIs, proposed EMI. Lenders commonly accept about 40% to 50%, and up to 60% for some profiles [8][9]
6	Policy and pricing	Credit officer	Bank policy limits (age, income, tenure, amount); rate by risk band	Credit policy
7	Decision	Credit officer or manager within delegated authority	Approve, reject or refer upward; reasons recorded	Appraisal note
8	Sanction and agreement	Operations, borrower	Terms communicated and borrower acceptance recorded; for digital loans a Key Fact Statement and a cooling-off period [1][2][4]	Sanction letter, KFS, signed agreement
9	Disbursement	Operations	Funds credited to the borrower's own account (no third-party pass-through) [3]	Disbursement record

Roles: applicant; relationship manager or sales agent; KYC and operations staff; credit analyst; credit officer or manager; compliance and audit.

2. Rules that shape the design

? Digital Lending Directions, 2025 (RBI, 8 May 2025): a digitally signed Key Fact Statement before the loan is finalised, a minimum cooling-off period (at least one day in the summary I found; the exact length by tenure should be confirmed in the RBI text), and no third-party pass-through accounts [1][2][3].

? Fair Practices Code: terms and conditions are communicated and the borrower's acceptance is kept on record; a rejection is explained in writing with the main reasons; sanctioned loans are disbursed on time [4][5].

? Credit information reporting: lenders report to the bureaus fortnightly since January 2025 [11]. Weekly reporting is coming; sources give different start dates (April or July 2026) [12][13], so I treat the date as unconfirmed.

3. Turnaround and pain points

? Estimates: digital lenders approve and pay out in minutes to a day or two; traditional banks quote 2 to 5 days to approve [15], 1 to 3 working days from approval to disbursement [14], and sometimes up to about a week [16][17]. The demo's own "before and after" figures are illustrative assumptions, not measured results.

? Pain points (from the sources and my reading of the process; to be confirmed with a practitioner): documents checked by eye, with mismatches between payslip, bank statement and employer found late; the same data requested twice; bureau, core banking and document data held in different systems; different officers applying the same policy differently; waiting between approval and disbursement; written reasons for rejections assembled by hand.

4. What this means for the demo

? The agent automates steps 3 to 6 (document checks, financial assessment, policy and risk) and prepares the decision. A human decides at step 7 and nothing is sanctioned without that decision. Sanction and disbursement (steps 8 and 9) are simulated.

? The demo's policy (FOIR 45% pass, 45 to 50% refer, above 50% decline; score bands 750, 700 and 650; at least 6 months with the current employer) is an illustrative policy of a fictional bank, chosen to sit inside the ranges the sources describe. It is not any real bank's policy.

? The Key Fact Statement, the written rejection reason and the audit log are built because the rules above expect them. The demo does not claim regulatory compliance.

5. Sources and conversations

I had an informal discussion with a bank manager at a nearby Canara Bank branch to understand the practical loan processing procedures followed in retail banking. The discussion covered different loan categories, including personal loans, home loans, and gold loans, with a primary focus on the personal loan approval process.

During the discussion, I explored the key stages involved in processing a personal loan application, from application submission and document collection to eligibility assessment, verification, approval, and disbursement. We discussed the importance of KYC documentation, proof of income, employment stability, existing financial obligations, credit history, and repayment capacity in assessing an applicant's eligibility.

The discussion also helped me understand how banks evaluate an applicant's monthly income and existing EMIs, assess repayment capacity, and identify discrepancies in submitted documents or financial information. I also explored the role of credit scores, internal lending policies, and verification checks in supporting lending decisions.

Home loans and gold loans were discussed at a high level to understand how eligibility requirements, supporting documents, collateral requirements, and assessment procedures differ across loan products.

These practical insights helped inform the proposed personal loan approval workflow, including document verification, financial assessment, policy compliance checks, risk identification, and human review. The proposed Agentic AI solution uses these stages as a reference for demonstrating how AI agents can assist banking professionals while keeping final lending decisions under authorised human control.

[1] RBI, Digital Lending Directions, 2025: https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=12848 [2] Mondaq, Digital Lending Directions, 2025: https://www.mondaq.com/article/1636908/digital-lending-directions-2025 [3] Mondaq, RBI's Digital Lending Directions, 2025: https://www.mondaq.com/india/financial-services/1672690/rbis-digital-lending-directions-2025-shaping-the-future-of-borrowing-in-india [4] RBI, Guidelines on Fair Practices Code for Lenders: https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=1172 [5] Karur Vysya Bank, Fair Practice Code for Lending: https://www.kvb.bank.in/docs/fair-practice-code-for-lending.pdf [6] BankBazaar, documents for a personal loan: https://bankbazaar.com/personal-loan/documents-required-for-personal-loan.html [7] Jupiter, documents for a personal loan: https://jupiter.money/blog/documents-required-for-personal-loan/ [8] SMFG India Credit, What is FOIR: https://www.smfgindiacredit.com/what-is-foir.aspx [9] L&T Finance, FOIR and personal loan approval: https://www.ltfinance.com/blog/foir-impact-personal-loan-approval [10] Business Standard, credit score column: https://www.business-standard.com/opinion/columns/what-s-your-credit-score-know-how-its-behaviour-affects-financial-health-1240901003741.html [11] USISPF, RBI notification on frequency of credit information reporting: https://usispf.org/newsletter-weekly/rbi-issues-notification-on-frequency-of-reporting-of-credit-information-by-credit-institutions-to-credit-information-companies [12] Ventura Securities, weekly CIBIL reporting: https://www.venturasecurities.com/rbi-changes-cibil-reporting-from-april-1-2026-full-details-and-impact-on-borrowers/ [13] Sahi, CIBIL score range: https://www.sahi.com/blogs/what-is-cibil-score-range-free-check-how-to-improve-2026 [14] L&T Finance, disbursement process: https://www.ltfinance.com/blog/personal-loan/personal-loan-disbursement-process [15] Poonawalla Fincorp, disbursement process: https://poonawallafincorp.com/blogs/all-about-personal-loan-disbursement-process.php [16] Airtel Finance, disbursal timeline: https://www.airtel.in/blog/personal-loan/personal-loan-disbursal-timeline/ [17] LoansJagat, disbursal time: https://www.loansjagat.com/loan/personal-loan-disbursal-time